T-12 OPERATING STATEMENT

Summit Senior Living | Naperville, IL

Property	Summit Senior Living
Period Ending	January 24, 2025
Basis	Accrual - Trailing 12 Months
Prepared By	Orion Commercial Management
Size	115 units

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	220,962	219,638	219,244	237,001	242,989	232,701	230,739	226,047	223,034	225,660	240,204	242,217	2,760,436
4010 Loss to Lease	97,072	105,402	104,658	95,553	102,707	106,113	92,547	95,955	96,850	94,204	100,876	99,752	1,191,689
4020 Vacancy Loss	110,351	99,993	108,177	110,396	97,030	105,989	104,759	106,400	99,561	98,172	102,070	99,630	1,242,528
4030 Concessions	51,763	54,593	51,908	50,148	47,773	51,738	54,421	54,439	48,633	49,417	51,107	50,188	616,129
4040 Bad Debt	167,790	169,679	164,651	164,108	170,242	154,023	161,504	168,290	159,115	166,025	157,233	166,666	1,969,326
4050 Late Fees	197,403	189,341	191,893	210,661	195,616	209,786	201,969	206,534	204,488	198,398	192,998	188,346	2,387,434
4060 Utility Reimbursements	185,172	199,929	194,305	191,309	182,670	189,870	177,893	187,119	184,932	191,944	183,102	180,432	2,248,677
4070 Parking Income	23,898	24,507	24,135	23,754	25,536	25,314	24,845	24,238	23,207	25,946	23,047	25,000	293,427
4080 Application Fees	43,842	44,146	41,871	45,307	45,284	44,218	41,946	43,737	41,602	44,246	41,859	45,139	523,196
4090 Pet Rent	143,769	137,679	133,156	137,824	136,214	142,627	129,252	129,320	129,630	129,722	139,796	140,746	1,629,737
4100 Laundry Income	19,670	19,979	18,485	17,841	20,108	19,509	19,241	19,404	18,799	18,259	18,258	19,000	228,552
4110 Cable/Internet Revenue	62,579	62,237	60,400	55,910	61,666	55,684	56,122	57,561	62,356	57,112	60,385	60,403	712,416
4120 CAM Reimbursements	196,798	219,809	206,977	203,064	203,580	214,583	219,826	201,613	218,771	222,707	206,849	204,411	2,518,987
4130 Tax Reimbursements	45,276	44,994	50,201	45,306	48,159	44,148	46,110	47,888	45,998	49,084	50,035	47,776	564,976
4140 Insurance Reimbursements	32,826	33,951	32,162	33,451	34,158	34,513	33,161	34,911	32,827	35,658	35,041	35,581	408,241
4150 Percentage Rent	31,507	29,432	30,011	32,130	31,626	32,345	33,602	31,185	30,983	31,930	33,064	30,581	378,396
4160 Misc. Income	3,415	3,758	3,637	3,750	3,557	3,741	3,747	3,486	3,279	3,495	3,709	3,390	42,964
4170 Payroll - Management	12,821	11,745	11,464	13,146	12,358	12,222	12,090	11,511	11,434	13,006	12,909	12,652	147,359
4180 Payroll - Leasing	16,082	17,743	16,293	17,595	17,596	16,655	17,188	17,544	16,447	17,279	16,769	16,931	204,122
4190 Payroll - Maintenance	22,117	22,709	22,329	22,379	25,020	25,238	22,515	23,239	22,215	24,566	24,731	23,890	280,949
4200 Payroll Taxes & Benefits	15,586	14,936	16,214	16,478	16,907	15,466	15,685	16,531	16,085	15,706	16,171	14,716	190,482
4210 Repairs - Plumbing	3,090	3,153	2,923	3,073	2,774	3,163	3,024	2,937	3,101	3,053	2,917	3,053	36,260
4220 Repairs - HVAC	21,620	21,295	22,364	21,011	22,508	19,677	21,286	19,916	21,577	20,418	20,975	22,285	254,932
4230 Repairs - Electrical	3,501	3,159	3,399	3,537	3,208	3,369	3,537	3,200	3,188	3,338	3,193	3,368	39,998

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4440 Accounting & Audit	21,399	21,857	21,529	22,020	19,868	21,422	20,766	20,316	20,747	22,369	19,665	20,489	252,446
4450 Licenses & Permits	2,836	2,969	2,902	2,828	2,986	2,731	2,818	2,929	2,951	2,918	2,712	3,005	34,584
4460 Management Fee	23,163	25,856	24,532	25,922	23,746	23,310	24,905	26,099	26,035	23,218	23,681	23,369	293,835
4470 Property Insurance	3,775	3,933	3,769	3,917	3,615	3,859	3,938	3,835	3,691	4,088	3,959	3,793	46,172
4480 Real Estate Taxes	4,278	4,249	4,301	4,393	4,461	4,264	4,391	3,966	4,494	4,195	4,275	4,027	51,294
4490 Asset Management Fee	11,569	11,217	11,248	11,506	12,055	10,914	12,183	10,930	12,242	12,192	11,610	11,390	139,056
4500 Replacement Reserves	19,936	20,449	20,893	21,239	21,433	19,694	19,212	19,690	19,516	18,933	20,994	19,379	241,367
4510 Roof Repairs	20,404	18,938	19,067	18,682	18,816	19,416	19,003	20,180	18,624	19,260	20,563	17,931	230,883
4520 Parking Lot Repairs	8,812	9,798	10,074	9,371	9,019	8,979	9,672	9,322	8,939	9,299	9,296	8,840	111,421
4530 Signage	15,862	16,105	15,275	15,675	15,812	16,578	15,534	16,496	16,308	15,991	16,352	16,445	192,433
4540 Tenant Improvements	16,326	15,760	15,000	16,209	14,830	15,247	16,251	15,643	16,446	16,329	15,036	15,199	188,276
4550 Leasing Commissions	25,959	28,065	28,487	26,461	25,879	26,217	27,567	27,048	28,337	27,310	28,096	27,402	326,828
4000 Gross Potential Rent	233,426	222,746	218,588	236,026	247,614	233,794	246,659	235,812	221,246	225,752	221,100	228,452	2,771,217
4010 Loss to Lease	98,548	97,625	93,928	102,608	97,624	96,121	101,834	98,397	94,690	102,266	95,215	95,757	1,174,613
4020 Vacancy Loss	2,961	3,135	3,141	3,267	3,079	2,958	3,009	2,974	3,064	3,226	3,075	2,964	36,852
4030 Concessions	147,786	149,364	142,931	160,727	160,443	161,483	154,009	144,398	141,719	149,489	141,693	147,855	1,801,897
4040 Bad Debt	193,007	212,703	218,418	209,249	194,139	208,668	195,859	192,730	193,083	200,696	210,089	211,115	2,439,757
4050 Late Fees	41,297	44,779	44,105	44,937	42,874	42,065	40,714	44,985	43,226	44,423	41,297	45,936	520,638
4060 Utility Reimbursements	184,367	178,181	186,546	195,691	176,201	181,446	196,364	175,398	182,364	198,401	178,710	187,895	2,221,565
4070 Parking Income	83,284	83,574	80,180	77,708	86,138	79,085	86,978	78,130	80,921	86,626	81,658	83,673	987,954
4080 Application Fees	120,348	126,899	130,296	128,004	116,196	125,956	131,077	116,688	128,694	131,570	128,096	117,861	1,501,685
4090 Pet Rent	25,480	28,123	25,527	28,399	28,371	25,608	27,000	26,103	26,014	28,529	28,182	28,119	325,453
4100 Laundry Income	11,724	12,052	12,196	12,847	12,620	11,571	12,888	11,735	13,110	11,746	11,745	12,076	146,311
4110 Cable/Internet Revenue	138,796	133,302	123,905	127,313	124,988	137,548	123,571	125,380	140,095	122,830	126,249	134,722	1,558,698
4120 CAM Reimbursements	69,828	63,383	68,270	71,622	67,458	64,768	70,622	69,567	67,176	69,726	71,692	63,784	817,895
4130 Tax Reimbursements	150,635	147,532	152,787	149,054	154,033	150,090	145,432	153,092	146,751	144,653	137,076	135,587	1,766,723
4140 Insurance Reimbursements	16,488	17,900	16,922	16,981	18,148	17,009	16,192	16,301	16,164	18,283	18,092	16,807	205,288
4150 Percentage Rent	7,886	8,842	8,024	8,721	8,570	8,222	8,354	7,866	8,491	8,662	8,337	8,345	100,319
4160 Misc. Income	122,203	122,189	118,995	112,027	122,651	116,125	110,690	118,814	118,445	121,184	118,042	123,283	1,424,649
4170 Payroll - Management	22,350	22,083	23,180	23,002	22,410	23,519	22,263	23,708	22,998	23,738	21,500	21,230	271,979
4180 Payroll - Leasing	14,631	15,062	15,338	14,939	15,641	14,746	15,627	13,823	15,096	15,500	14,439	15,418	180,259
4190 Payroll - Maintenance	22,016	22,631	21,393	22,611	23,471	23,204	21,032	21,341	23,411	22,046	23,791	24,020	270,967
4200 Payroll Taxes & Benefits	15,754	17,346	16,363	16,699	17,483	16,159	16,098	17,581	16,795	16,239	15,794	15,714	198,026
4210 Repairs - Plumbing	7,851	8,201	7,493	7,323	7,369	7,370	7,808	8,200	7,474	8,020	7,444	8,018	92,571
4220 Repairs - HVAC	8,704	8,683	9,137	9,127	9,339	9,906	9,694	9,769	9,847	9,706	9,901	9,745	113,556
4230 Repairs - Electrical	11,732	11,656	12,785	12,873	11,683	13,041	13,063	12,734	11,636	12,509	13,085	12,149	148,944
4240 Repairs - Appliances	24,099	23,683	25,201	25,454	26,262	25,954	26,219	24,871	24,377	24,103	24,240	23,367	297,831
4250 Painting & Decorating	26,991	27,771	25,993	27,892	28,180	27,904	27,048	29,241	27,185	25,696	26,822	26,521	327,245
4260 Flooring	13,372	14,578	13,501	15,134	14,863	15,017	13,966	14,406	13,462	13,773	14,883	13,686	170,641
4270 Make-Ready / Turnover	12,726	13,783	13,464	13,706	12,764	12,653	12,117	12,196	12,173	13,195	12,526	12,585	153,886
4280 Landscaping Contract	2,547	2,571	2,492	2,381	2,572	2,568	2,478	2,417	2,313	2,447	2,428	2,493	29,706
4290 Snow Removal	6,789	7,325	7,266	7,399	6,925	7,235	7,486	7,397	7,611	7,664	7,150	7,044	87,290
4300 Janitorial	5,641	5,336	5,320	5,503	5,693	5,510	5,371	5,134	5,494	5,422	5,144	5,362	64,929
4310 Pest Control	27,104	28,371	27,575	27,091	28,902	25,572	28,411	27,702	28,710	27,514	27,488	25,542	329,982

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Operating Performance

Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period. The community provides assisted living and memory care services under a state-issued license with 39 full-time caregivers per shift. Occupancy stands at 92.4% with an average resident length of stay of 5 years. Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. The going-in capitalization rate of 7.54% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $146,000, representing a 7.6% increase over the prior year.

Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. The community provides assisted living and memory care services under a state-issued license with 48 full-time caregivers per shift. Effective gross income for the trailing period was $25,000, representing a 2.2% increase over the prior year. Debt service coverage ratio was 6.95x on a trailing basis against a covenant minimum of 1.20x. Dining, housekeeping, transportation and activities programming are included in the base fee.

Property Operations

Occupancy stands at 88.7% with an average resident length of stay of 4 years. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 40 additional team members. Service requests are tracked through a work-order system with an average completion time of 18 hours. Dining, housekeeping, transportation and activities programming are included in the base fee. The community provides assisted living and memory care services under a state-issued license with 46 full-time caregivers per shift.

Dining, housekeeping, transportation and activities programming are included in the base fee. Occupancy stands at 88.5% with an average resident length of stay of 10 years. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day. Service requests are tracked through a work-order system with an average completion time of 3 hours. Collections for the period were 95.3% of billed charges, with bad debt of 4.8% of gross potential income.

Valuation Discussion

Dining, housekeeping, transportation and activities programming are included in the base fee. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.06x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.85% reflects the in-place income and the stabilized occupancy assumption.

Effective gross income for the trailing period was $54,000, representing a 10.4% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. The going-in capitalization rate of 5.63% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 6.8% of collected revenue and are included in operating expenses. Dining, housekeeping, transportation and activities programming are included in the base fee.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 26 additional team members. Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. Collections for the period were 91.2% of billed charges, with bad debt of 7.0% of gross potential income. Occupancy stands at 91.0% with an average resident length of stay of 10 years. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 12 hours.

Dining, housekeeping, transportation and activities programming are included in the base fee. The manager completes a monthly walk of the property and submits a variance report to the owner by the 7th business day. Collections for the period were 95.4% of billed charges, with bad debt of 7.0% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Operating Performance

The community provides assisted living and memory care services under a state-issued license with 22 full-time caregivers per shift. Debt service coverage ratio was 6.18x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $295,000, representing a 8.6% increase over the prior year. Occupancy stands at 89.6% with an average resident length of stay of 5 years. Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period.

Dining, housekeeping, transportation and activities programming are included in the base fee. The going-in capitalization rate of 7.64% reflects the in-place income and the stabilized occupancy assumption. Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. Occupancy stands at 92.8% with an average resident length of stay of 5 years. Effective gross income for the trailing period was $235,000, representing a 11.5% increase over the prior year. The community provides assisted living and memory care services under a state-issued license with 2 full-time caregivers per shift.

Management Commentary

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Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4340 Fire & Life Safety	3,046	3,049	3,047	2,804	3,136	2,820	3,098	3,132	3,010	2,816	3,021	3,132	36,111
4350 Security	12,012	11,851	12,553	11,965	12,106	11,465	12,567	12,809	12,673	11,752	12,219	11,576	145,549
4360 Electricity - Common	7,072	7,385	7,639	7,952	7,574	7,660	7,640	7,648	7,816	7,132	7,047	7,290	89,855
4370 Gas - Common	10,067	10,836	9,949	11,251	9,863	10,361	10,349	10,182	10,463	10,531	10,123	10,997	124,974
4380 Water & Sewer	6,421	5,947	5,942	5,968	6,414	6,358	6,557	5,989	6,487	6,025	6,305	6,158	74,572
4390 Telephone/Internet	15,328	14,259	14,947	15,165	14,012	14,596	15,374	13,807	15,274	13,563	14,462	14,192	174,979
4400 Advertising	24,821	26,043	25,408	28,401	26,065	26,939	26,373	25,836	25,576	28,179	27,547	27,642	318,829
4410 Resident Events	6,965	6,603	7,089	6,549	6,331	6,462	6,364	6,420	6,908	6,738	6,780	6,998	80,207
4420 Office Supplies	3,723	3,933	3,913	3,814	4,043	4,132	4,139	3,861	3,830	3,886	4,195	3,889	47,358
4430 Legal & Professional	12,151	12,444	12,525	12,808	13,184	12,617	12,847	13,502	13,489	12,283	13,084	12,959	153,893
4440 Accounting & Audit	18,195	18,438	16,541	18,384	17,222	17,919	16,966	16,805	16,366	16,689	16,478	18,614	208,617
4450 Licenses & Permits	24,442	22,458	25,338	23,568	24,149	22,577	24,741	25,055	23,752	25,490	22,927	23,012	287,507
4460 Management Fee	9,013	8,645	8,755	8,775	9,505	8,663	9,537	8,361	9,138	8,410	8,389	9,418	106,609
4470 Property Insurance	6,751	6,187	6,540	6,268	6,662	6,292	6,781	6,598	6,638	6,275	6,725	6,346	78,062
4480 Real Estate Taxes	4,685	4,609	4,356	4,441	4,310	4,769	4,876	4,751	4,785	4,454	4,609	4,872	55,516
4490 Asset Management Fee	23,569	22,808	25,032	25,560	25,459	25,820	24,589	23,984	23,318	24,589	24,779	25,306	294,813
4500 Replacement Reserves	10,329	10,530	10,101	10,346	9,688	10,857	11,023	9,779	10,609	10,994	10,512	10,775	125,544
4510 Roof Repairs	24,364	26,688	24,338	26,757	25,761	26,854	25,040	26,426	26,902	26,921	26,363	26,344	312,758
4520 Parking Lot Repairs	15,404	14,853	16,779	15,460	15,743	16,293	16,497	15,595	16,388	16,095	15,473	16,152	190,732
4530 Signage	13,945	13,332	13,548	12,967	14,175	12,848	12,752	13,876	13,214	13,831	14,251	14,034	162,773
4540 Tenant Improvements	10,849	11,569	10,589	11,161	10,622	10,205	10,245	10,600	11,026	10,729	11,275	11,064	129,934
4550 Leasing Commissions	7,729	8,406	7,669	7,384	7,458	7,436	7,787	8,058	7,805	8,434	7,772	7,634	93,573
4000 Gross Potential Rent	224,601	234,549	235,979	247,241	247,231	220,904	224,525	246,448	245,026	224,033	232,478	230,569	2,813,584
4010 Loss to Lease	45,832	44,593	43,499	45,074	48,165	48,165	45,568	43,914	47,184	43,623	42,733	49,009	547,361
4020 Vacancy Loss	164,932	167,351	159,572	165,662	150,018	165,184	147,439	159,250	148,339	147,543	156,929	146,743	1,878,963
4030 Concessions	4,628	4,656	4,611	4,778	4,997	4,837	4,715	4,513	4,738	4,527	4,706	4,763	56,471
4040 Bad Debt	123,463	120,284	131,708	126,061	130,001	128,206	121,259	128,830	122,338	130,735	123,154	125,548	1,511,589
4050 Late Fees	178,717	167,110	188,680	177,736	180,947	167,051	181,917	168,262	180,915	180,191	178,155	175,435	2,125,117
4060 Utility Reimbursements	139,390	129,611	140,018	133,022	133,950	135,476	131,482	139,586	125,654	130,653	132,406	136,649	1,607,898
4070 Parking Income	2,904	2,771	2,726	2,625	2,777	2,800	2,710	2,750	2,864	2,637	2,965	2,629	33,157
4080 Application Fees	111,472	101,106	112,178	105,684	109,853	111,328	110,610	113,493	105,336	109,886	104,880	99,802	1,295,629
4090 Pet Rent	35,912	34,497	34,635	33,106	37,539	34,943	33,196	37,388	37,489	33,025	34,051	37,218	423,002
4100 Laundry Income	107,860	117,375	115,603	114,789	113,100	107,792	113,877	111,887	108,622	103,547	109,383	107,802	1,331,637
4110 Cable/Internet Revenue	22,384	22,864	23,535	23,619	23,651	23,616	22,760	22,588	23,801	24,384	22,184	25,182	280,567
4120 CAM Reimbursements	118,631	125,025	120,324	121,204	127,087	120,090	113,370	113,363	127,999	128,468	128,444	117,365	1,461,370
4130 Tax Reimbursements	176,530	159,892	167,489	162,365	166,679	171,187	165,760	180,358	182,424	177,845	178,637	175,690	2,064,856
4140 Insurance Reimbursements	144,619	156,852	154,181	153,809	162,477	145,423	159,944	147,978	161,547	164,242	155,222	162,732	1,869,027
4150 Percentage Rent	104,296	101,514	97,624	106,352	95,798	97,943	101,601	99,881	102,795	97,209	103,721	94,111	1,202,846
4160 Misc. Income	208,461	192,466	195,881	211,929	215,123	199,480	193,024	219,811	210,426	210,615	212,115	215,304	2,484,635
4170 Payroll - Management	23,097	24,408	25,165	24,287	22,751	24,266	24,045	24,092	25,964	24,761	22,787	24,166	289,789
4180 Payroll - Leasing	7,255	6,841	6,754	6,760	7,145	7,232	6,852	6,634	6,888	6,876	6,729	6,538	82,505
4190 Payroll - Maintenance	21,391	20,489	19,093	20,308	20,709	21,637	21,443	21,430	19,559	20,537	19,253	19,303	245,152
4200 Payroll Taxes & Benefits	12,611	13,673	12,274	12,453	12,121	12,371	13,149	12,513	13,315	12,286	13,215	12,877	152,859
4210 Repairs - Plumbing	3,041	2,826	3,107	3,210	2,914	3,172	3,110	2,993	3,205	2,883	3,215	3,206	36,881
4220 Repairs - HVAC	21,524	20,776	22,037	21,643	22,290	21,092	20,627	21,226	21,176	22,102	22,438	20,102	257,033

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Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Dining, housekeeping, transportation and activities programming are included in the base fee. The community provides assisted living and memory care services under a state-issued license with 45 full-time caregivers per shift. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period. Debt service coverage ratio was 5.50x on a trailing basis against a covenant minimum of 1.20x.

Dining, housekeeping, transportation and activities programming are included in the base fee. Operating expenses totaled $289,000 or approximately 16.22 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $341,000, representing a 3.9% increase over the prior year. Occupancy stands at 94.8% with an average resident length of stay of 4 years. Management fees are calculated at 7.6% of collected revenue and are included in operating expenses.

Leasing and Marketing

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 27 additional team members. The community provides assisted living and memory care services under a state-issued license with 12 full-time caregivers per shift. Collections for the period were 96.9% of billed charges, with bad debt of 4.9% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Occupancy stands at 94.4% with an average resident length of stay of 10 years. Service requests are tracked through a work-order system with an average completion time of 29 hours. Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 27th business day.

Operating Performance

Effective gross income for the trailing period was $122,000, representing a 4.5% increase over the prior year. The community provides assisted living and memory care services under a state-issued license with 20 full-time caregivers per shift. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $93,000 or approximately 14.47 per square foot, with real estate taxes representing the largest line item. Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. Dining, housekeeping, transportation and activities programming are included in the base fee.

Effective gross income for the trailing period was $459,000, representing a 10.0% increase over the prior year. Management fees are calculated at 4.1% of collected revenue and are included in operating expenses. Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. Debt service coverage ratio was 6.37x on a trailing basis against a covenant minimum of 1.20x.

Leasing and Marketing

Dining, housekeeping, transportation and activities programming are included in the base fee. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 95.7% of billed charges, with bad debt of 3.6% of gross potential income. Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. Occupancy stands at 95.3% with an average resident length of stay of 3 years. The community provides assisted living and memory care services under a state-issued license with 22 full-time caregivers per shift.

Dining, housekeeping, transportation and activities programming are included in the base fee. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 33 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 22th business day. Occupancy stands at 96.1% with an average resident length of stay of 7 years.

Income and Expense Review

Dining, housekeeping, transportation and activities programming are included in the base fee. Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. Net operating income is projected to grow at a compound annual rate of 3.3% over the hold period. Effective gross income for the trailing period was $21,000, representing a 12.7% increase over the prior year. The going-in capitalization rate of 5.13% reflects the in-place income and the stabilized occupancy assumption. Occupancy stands at 93.0% with an average resident length of stay of 6 years.

Operating expenses totaled $74,000 or approximately 11.38 per square foot, with real estate taxes representing the largest line item. Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 4.1% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $132,000, representing a 10.0% increase over the prior year.

Management Commentary

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4260 Flooring	4,295	4,370	3,985	3,994	4,193	4,444	4,349	4,181	4,274	3,954	4,367	3,959	50,365
4270 Make-Ready / Turnover	16,928	16,471	15,426	16,285	16,123	16,943	16,610	16,855	15,236	15,653	15,293	17,211	195,034
4280 Landscaping Contract	10,744	10,488	10,400	10,636	11,280	11,617	10,798	11,723	11,373	10,515	11,650	10,453	131,677
4290 Snow Removal	11,071	10,793	9,801	10,686	10,089	10,826	9,945	11,045	10,693	11,083	10,032	10,565	126,629
4300 Janitorial	17,754	17,553	18,157	17,906	18,954	19,872	19,467	17,902	17,861	18,980	18,669	19,767	222,842
4310 Pest Control	14,908	15,026	14,610	14,729	14,650	13,436	13,598	13,961	14,425	14,666	13,858	14,657	172,524
4320 Trash Removal	24,415	23,589	24,667	26,341	25,837	25,061	26,070	24,484	24,025	24,505	24,640	24,200	297,835
4330 Elevator Contract	24,331	25,053	24,561	25,150	26,182	27,017	25,101	26,829	26,546	26,286	24,338	24,726	306,120
4340 Fire & Life Safety	21,970	22,565	21,578	21,283	21,109	21,836	21,155	20,618	22,634	21,068	20,353	20,542	256,711
4350 Security	25,662	24,606	23,795	25,786	24,597	23,602	24,643	26,033	24,246	23,144	23,312	24,217	293,642
4360 Electricity - Common	14,155	15,425	16,032	15,676	15,533	15,526	15,622	15,635	14,400	14,332	15,193	14,408	181,938
4370 Gas - Common	10,957	10,833	9,614	10,353	9,684	9,820	10,623	9,684	10,658	10,440	10,756	9,908	123,329
4380 Water & Sewer	5,945	5,540	5,713	5,474	5,685	5,309	5,220	5,718	5,786	5,294	5,857	5,505	67,046
4390 Telephone/Internet	25,659	22,973	23,930	23,156	25,802	24,346	24,965	24,984	25,191	23,164	25,481	25,597	295,248
4400 Advertising	11,155	11,907	11,037	10,672	10,652	12,089	11,921	11,348	11,674	11,567	11,420	11,826	137,267
4410 Resident Events	16,511	16,019	16,208	15,976	15,286	16,842	15,903	15,624	16,356	15,614	16,670	15,506	192,514
4420 Office Supplies	14,203	14,195	14,539	13,909	14,429	14,174	13,862	13,632	14,874	14,503	15,023	15,171	172,514
4430 Legal & Professional	7,542	7,167	7,355	7,041	7,470	7,310	7,059	6,954	7,558	7,412	7,599	7,713	88,180
4440 Accounting & Audit	20,718	19,733	20,405	20,879	19,526	21,182	20,323	21,223	21,284	19,352	20,354	19,014	243,992
4450 Licenses & Permits	19,099	19,244	20,123	20,428	18,259	19,108	18,553	18,931	20,734	20,114	19,228	18,320	232,142
4460 Management Fee	7,513	7,449	7,923	7,465	8,241	8,105	8,355	8,429	8,533	8,537	7,900	8,240	96,690
4470 Property Insurance	13,471	13,217	13,531	13,546	13,416	12,182	12,036	11,994	12,366	13,142	12,254	13,133	154,289
4480 Real Estate Taxes	3,007	3,044	2,827	3,021	2,823	2,840	2,987	3,177	3,068	2,987	2,827	3,105	35,711
4490 Asset Management Fee	16,859	18,111	16,582	18,208	18,261	17,972	18,533	17,594	18,520	17,242	17,236	16,246	211,364
4500 Replacement Reserves	7,009	6,558	6,898	7,234	6,341	6,664	7,238	7,163	7,153	7,092	7,096	6,855	83,303
4510 Roof Repairs	19,148	18,804	17,429	17,927	18,781	19,156	18,409	18,214	16,764	18,265	17,111	18,598	218,606
4520 Parking Lot Repairs	26,281	24,104	24,264	25,248	25,730	23,377	24,592	26,363	23,685	25,435	25,402	23,427	297,907
4530 Signage	16,647	16,801	16,643	15,400	15,025	16,274	16,506	15,737	14,825	16,003	15,911	15,522	191,294
4540 Tenant Improvements	10,039	10,528	10,038	10,527	10,587	10,579	10,179	10,310	10,278	10,345	10,146	9,574	123,128
4550 Leasing Commissions	15,686	14,971	15,198	14,521	15,220	15,996	14,508	14,725	14,504	14,347	15,256	15,388	180,321
4000 Gross Potential Rent	240,371	218,813	245,949	223,635	240,080	228,140	231,542	240,989	218,017	232,513	216,834	244,747	2,781,630
4010 Loss to Lease	22,869	22,628	23,228	23,037	21,015	22,626	23,294	22,252	21,813	23,857	22,391	23,367	272,375
4020 Vacancy Loss	187,947	197,735	196,835	191,021	196,742	200,580	188,545	188,676	184,625	199,180	202,581	179,347	2,313,815
4030 Concessions	7,019	6,535	6,616	7,165	6,463	6,304	7,137	6,966	6,551	6,453	6,522	6,885	80,617
4040 Bad Debt	35,600	34,857	39,041	34,442	35,074	37,775	38,115	36,804	34,214	34,721	34,749	35,688	431,079
4050 Late Fees	130,116	127,119	123,797	125,861	133,068	117,984	134,958	118,646	124,544	132,490	133,694	130,956	1,533,233
4060 Utility Reimbursements	121,921	130,565	126,920	129,553	128,835	126,440	114,045	130,561	115,025	118,352	115,760	120,160	1,478,136
4070 Parking Income	145,881	155,356	148,438	144,219	146,905	140,636	150,250	149,786	136,170	151,578	147,615	154,930	1,771,764
4080 Application Fees	37,683	39,185	38,907	40,574	35,747	38,549	39,946	39,404	36,665	40,366	37,395	37,402	461,824
4090 Pet Rent	118,357	113,022	111,420	114,363	116,912	117,898	116,396	116,062	109,430	120,612	107,313	111,299	1,373,084
4100 Laundry Income	163,732	156,789	154,743	146,909	150,052	150,642	163,908	165,763	155,655	157,714	155,430	161,778	1,883,115
4110 Cable/Internet Revenue	143,573	145,212	151,808	150,916	152,661	144,858	148,535	150,055	147,887	136,370	145,742	138,485	1,756,102
4120 CAM Reimbursements	71,233	67,756	72,952	74,440	72,505	75,250	66,732	67,882	71,199	68,147	75,500	69,442	853,039
4130 Tax Reimbursements	89,530	83,701	84,538	85,248	84,166	91,636	91,693	86,914	85,710	90,454	83,094	81,384	1,038,069
4140 Insurance Reimbursements	10,028	10,007	9,629	10,148	9,555	9,593	9,900	9,685	9,318	10,423	10,197	9,864	118,346
4150 Percentage Rent	91,724	92,431	96,681	101,305	89,540	90,084	92,108	96,818	101,090	95,216	98,547	101,649	1,147,192

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Operating Performance

Operating expenses totaled $61,000 or approximately 28.20 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.30x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.6% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 6.0% over the hold period. The community provides assisted living and memory care services under a state-issued license with 14 full-time caregivers per shift. The going-in capitalization rate of 6.18% reflects the in-place income and the stabilized occupancy assumption.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Occupancy stands at 90.3% with an average resident length of stay of 7 years. Dining, housekeeping, transportation and activities programming are included in the base fee. Debt service coverage ratio was 6.06x on a trailing basis against a covenant minimum of 1.20x.

Property Operations

Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. Service requests are tracked through a work-order system with an average completion time of 46 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Dining, housekeeping, transportation and activities programming are included in the base fee.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 40 hours. The community provides assisted living and memory care services under a state-issued license with 10 full-time caregivers per shift. Dining, housekeeping, transportation and activities programming are included in the base fee.

Financial Analysis

The going-in capitalization rate of 5.97% reflects the in-place income and the stabilized occupancy assumption. The community provides assisted living and memory care services under a state-issued license with 33 full-time caregivers per shift. Operating expenses totaled $137,000 or approximately 46.65 per square foot, with real estate taxes representing the largest line item. Occupancy stands at 96.0% with an average resident length of stay of 5 years. Debt service coverage ratio was 8.17x on a trailing basis against a covenant minimum of 1.20x.

The community provides assisted living and memory care services under a state-issued license with 19 full-time caregivers per shift. Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. Occupancy stands at 93.7% with an average resident length of stay of 6 years. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $474,000, representing a 3.0% increase over the prior year.

Leasing and Marketing

Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. Collections for the period were 96.1% of billed charges, with bad debt of 6.4% of gross potential income. The community provides assisted living and memory care services under a state-issued license with 46 full-time caregivers per shift. Dining, housekeeping, transportation and activities programming are included in the base fee.

Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. The community provides assisted living and memory care services under a state-issued license with 45 full-time caregivers per shift. Dining, housekeeping, transportation and activities programming are included in the base fee. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Operating Performance

The community provides assisted living and memory care services under a state-issued license with 13 full-time caregivers per shift. Effective gross income for the trailing period was $185,000, representing a 12.7% increase over the prior year. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses. Operating expenses totaled $222,000 or approximately 20.51 per square foot, with real estate taxes representing the largest line item. Dining, housekeeping, transportation and activities programming are included in the base fee. Net operating income is projected to grow at a compound annual rate of 3.4% over the hold period.

Management fees are calculated at 6.9% of collected revenue and are included in operating expenses. The community provides assisted living and memory care services under a state-issued license with 18 full-time caregivers per shift. Effective gross income for the trailing period was $80,000, representing a 6.2% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.62x on a trailing basis against a covenant minimum of 1.20x.

Management Commentary

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4160 Misc. Income	214,350	206,362	187,828	190,182	210,941	192,406	198,659	202,434	191,744	202,243	188,703	209,911	2,395,763
4170 Payroll - Management	3,034	3,303	2,952	3,046	3,069	3,116	3,064	3,005	3,328	3,253	2,954	3,129	37,254
4180 Payroll - Leasing	6,514	6,620	6,520	6,356	5,882	6,221	6,210	6,017	6,308	6,120	5,837	6,264	74,868
4190 Payroll - Maintenance	20,884	21,039	20,251	20,472	20,708	19,033	19,274	19,814	20,703	20,775	19,696	20,206	242,856
4200 Payroll Taxes & Benefits	10,831	10,877	10,827	11,112	10,310	11,019	10,040	10,187	10,068	9,882	9,973	10,316	125,442
4210 Repairs - Plumbing	14,007	13,769	13,478	14,540	12,908	14,550	14,020	13,761	13,412	13,578	14,477	12,736	165,237
4220 Repairs - HVAC	11,127	11,729	11,132	11,575	10,696	10,619	11,017	11,713	11,243	10,378	10,589	10,308	132,127
4230 Repairs - Electrical	5,951	5,603	6,086	6,131	5,987	6,024	6,106	6,242	5,878	5,697	6,113	5,703	71,521
4240 Repairs - Appliances	4,882	4,975	4,855	4,940	5,057	4,684	4,994	4,755	5,084	4,546	4,577	4,701	58,049
4250 Painting & Decorating	15,399	15,261	16,916	16,697	16,406	16,684	16,333	17,016	17,312	17,255	16,305	17,282	198,866
4260 Flooring	19,959	17,703	18,175	17,546	18,874	17,735	19,175	18,781	19,842	18,360	19,165	17,789	223,105
4270 Make-Ready / Turnover	18,817	19,172	19,735	19,962	19,278	19,599	19,706	18,873	20,432	20,691	20,695	18,700	235,661
4280 Landscaping Contract	6,366	6,409	6,039	6,856	6,677	6,096	6,500	6,794	6,484	6,579	6,037	6,043	76,879
4290 Snow Removal	8,139	8,362	7,841	7,961	8,604	8,790	8,449	7,694	8,315	7,946	7,878	8,064	98,042
4300 Janitorial	12,910	12,331	12,310	12,970	12,075	11,966	13,165	12,008	11,785	12,067	11,953	12,231	147,771
4310 Pest Control	3,854	4,148	3,745	3,859	4,144	4,135	3,881	3,808	3,794	3,893	4,091	3,866	47,220
4320 Trash Removal	11,436	10,929	10,679	10,741	11,053	10,423	10,488	10,489	10,838	10,979	10,110	10,368	128,531
4330 Elevator Contract	13,545	13,613	14,291	14,060	13,087	14,541	12,882	14,036	13,389	13,183	13,210	13,218	163,056
4340 Fire & Life Safety	23,421	22,587	23,271	22,605	22,477	24,147	24,043	22,750	23,925	22,553	22,972	24,637	279,389
4350 Security	20,261	19,531	19,555	21,137	19,719	20,846	21,172	21,295	19,438	19,868	18,800	19,563	241,184
4360 Electricity - Common	14,481	13,718	13,989	12,939	13,371	12,906	12,870	13,190	14,220	12,877	13,116	13,481	161,158
4370 Gas - Common	29,231	28,302	27,854	26,576	28,662	28,468	26,054	27,160	25,622	27,274	26,326	28,248	329,776
4380 Water & Sewer	4,822	4,538	4,589	4,665	4,243	4,761	4,368	4,382	4,620	4,399	4,698	4,487	54,571
4390 Telephone/Internet	13,353	13,672	13,924	14,394	13,376	12,684	13,402	13,910	13,617	13,210	13,953	12,548	162,041
4400 Advertising	20,755	22,291	22,000	20,690	20,955	23,281	21,279	22,723	21,258	21,761	22,664	22,393	262,048
4410 Resident Events	5,943	6,450	5,688	6,079	5,770	6,522	5,945	5,810	5,903	5,902	6,191	5,778	71,980
4420 Office Supplies	6,575	6,137	6,131	6,484	6,618	6,803	6,322	6,717	6,808	6,132	6,291	6,433	77,450
4430 Legal & Professional	12,829	11,599	11,839	12,335	11,857	12,779	11,589	12,929	12,102	12,083	12,941	12,825	147,707
4440 Accounting & Audit	15,382	15,370	15,656	15,241	14,911	16,061	14,526	14,318	14,649	14,755	16,053	15,070	181,993
4450 Licenses & Permits	16,808	17,643	17,151	17,552	16,774	18,095	17,695	16,537	18,453	18,321	18,671	17,453	211,152
4460 Management Fee	4,160	4,451	4,474	4,462	4,309	4,220	4,330	4,287	4,454	4,441	4,520	4,394	52,503
4470 Property Insurance	22,485	23,028	22,826	24,378	24,805	22,663	24,001	21,848	23,927	22,635	24,384	21,885	278,866
4480 Real Estate Taxes	8,453	8,034	8,645	7,604	8,242	7,712	7,919	8,579	8,593	7,668	8,053	7,851	97,354
4490 Asset Management Fee	7,061	7,654	7,498	7,076	8,028	7,398	7,861	7,944	7,180	7,659	7,504	7,826	90,688
4500 Replacement Reserves	22,810	21,557	22,485	20,305	22,223	20,565	22,335	22,693	22,487	21,089	22,467	21,937	262,953
4510 Roof Repairs	11,916	12,173	12,415	12,961	12,575	12,381	11,562	12,841	12,328	12,659	11,594	11,951	147,357
4520 Parking Lot Repairs	10,268	9,402	10,174	9,521	9,314	10,545	10,684	9,692	10,164	10,433	10,317	10,010	120,525
4530 Signage	15,149	14,469	15,680	16,362	14,570	16,039	15,203	15,973	14,682	15,795	16,275	14,462	184,659
4540 Tenant Improvements	3,397	3,199	3,521	3,214	3,447	3,189	3,248	3,482	3,542	3,257	3,086	3,324	39,905
4550 Leasing Commissions	15,762	15,120	15,541	15,543	14,883	14,224	15,733	14,986	14,261	14,308	16,286	14,736	181,383
4000 Gross Potential Rent	237,292	232,247	221,239	248,249	239,662	240,113	222,586	232,907	219,668	239,810	216,219	246,348	2,796,341
4010 Loss to Lease	199,190	204,290	198,638	181,682	184,675	196,491	189,116	194,545	183,128	201,130	197,323	200,171	2,330,378
4020 Vacancy Loss	19,192	19,566	19,563	18,449	19,285	19,312	19,315	18,553	19,536	17,908	18,889	18,517	228,087
4030 Concessions	172,835	160,727	172,191	172,358	170,234	165,974	167,810	167,085	158,631	155,556	156,151	162,137	1,981,690
4040 Bad Debt	43,349	43,640	44,085	44,236	45,190	42,870	44,864	46,417	45,941	43,112	46,745	43,659	534,107
4050 Late Fees	206,405	211,401	209,381	196,073	201,352	202,116	211,191	217,212	217,573	193,079	198,452	204,640	2,468,874

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Valuation Discussion

Effective gross income for the trailing period was $466,000, representing a 2.9% increase over the prior year. The community provides assisted living and memory care services under a state-issued license with 5 full-time caregivers per shift. Dining, housekeeping, transportation and activities programming are included in the base fee. Debt service coverage ratio was 6.95x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care.

Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. Debt service coverage ratio was 6.90x on a trailing basis against a covenant minimum of 1.20x. The community provides assisted living and memory care services under a state-issued license with 34 full-time caregivers per shift. Occupancy stands at 93.9% with an average resident length of stay of 5 years.

Property Operations

Collections for the period were 96.7% of billed charges, with bad debt of 4.9% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 8 additional team members. Dining, housekeeping, transportation and activities programming are included in the base fee. Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care.

The community provides assisted living and memory care services under a state-issued license with 25 full-time caregivers per shift. The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 30 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care.

Operating Performance

Operating expenses totaled $363,000 or approximately 42.60 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $148,000, representing a 10.3% increase over the prior year. Debt service coverage ratio was 8.06x on a trailing basis against a covenant minimum of 1.20x.

Effective gross income for the trailing period was $310,000, representing a 7.6% increase over the prior year. Debt service coverage ratio was 7.61x on a trailing basis against a covenant minimum of 1.20x. The community provides assisted living and memory care services under a state-issued license with 4 full-time caregivers per shift. Operating expenses totaled $364,000 or approximately 32.85 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 7.2% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The community provides assisted living and memory care services under a state-issued license with 3 full-time caregivers per shift. Occupancy stands at 96.5% with an average resident length of stay of 8 years. Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. Collections for the period were 93.2% of billed charges, with bad debt of 6.3% of gross potential income.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 25 additional team members. Dining, housekeeping, transportation and activities programming are included in the base fee. Service requests are tracked through a work-order system with an average completion time of 8 hours. Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. The community provides assisted living and memory care services under a state-issued license with 33 full-time caregivers per shift. Occupancy stands at 89.3% with an average resident length of stay of 12 years.

Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community provides assisted living and memory care services under a state-issued license with 25 full-time caregivers per shift. Debt service coverage ratio was 5.08x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $458,000 or approximately 45.68 per square foot, with real estate taxes representing the largest line item. Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. The going-in capitalization rate of 8.03% reflects the in-place income and the stabilized occupancy assumption.

Dining, housekeeping, transportation and activities programming are included in the base fee. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.56% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. Debt service coverage ratio was 7.00x on a trailing basis against a covenant minimum of 1.20x.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4060 Utility Reimbursements	57,712	60,945	58,904	60,795	60,609	59,643	57,385	60,231	58,867	58,984	60,374	56,029	710,479
4070 Parking Income	118,106	112,497	117,588	109,244	113,070	118,702	113,245	120,251	114,883	107,663	110,034	111,984	1,367,267
4080 Application Fees	24,823	25,129	27,789	24,732	27,456	24,688	25,251	26,947	27,163	25,947	25,055	24,575	309,556
4090 Pet Rent	21,532	21,824	19,892	21,427	19,987	19,272	19,109	20,849	21,547	20,038	18,976	21,594	246,046
4100 Laundry Income	59,655	57,197	55,737	53,866	60,721	56,358	61,714	57,896	54,241	58,797	57,350	54,808	688,340
4110 Cable/Internet Revenue	129,123	137,141	123,862	131,942	130,211	134,067	138,841	128,235	123,513	138,970	131,357	134,033	1,581,294
4120 CAM Reimbursements	91,428	90,333	88,730	89,832	90,489	89,382	85,693	89,583	86,325	89,874	87,863	93,208	1,072,739
4130 Tax Reimbursements	204,894	193,527	205,667	184,340	204,094	183,914	195,315	197,337	195,810	182,740	201,665	207,372	2,356,676
4140 Insurance Reimbursements	100,110	98,700	100,258	92,506	93,938	102,413	100,918	99,945	103,377	103,912	92,421	96,646	1,185,143
4150 Percentage Rent	111,972	107,259	114,390	114,242	109,680	107,600	108,486	113,784	115,724	109,376	110,796	116,271	1,339,579
4160 Misc. Income	129,862	122,635	130,221	118,373	133,911	134,151	133,501	124,458	130,798	128,590	130,966	119,532	1,537,000
4170 Payroll - Management	17,570	19,788	17,909	18,480	19,511	17,723	18,561	18,848	18,408	17,260	19,476	18,409	221,942
4180 Payroll - Leasing	25,208	25,458	24,426	24,504	23,958	26,182	24,848	24,052	24,765	25,413	27,200	25,259	301,272
4190 Payroll - Maintenance	14,310	14,395	15,110	15,298	15,456	14,166	15,214	15,689	15,835	14,247	14,764	15,751	180,235
4200 Payroll Taxes & Benefits	4,586	4,595	4,542	4,441	4,746	4,505	4,137	4,572	4,353	4,391	4,279	4,375	53,523
4210 Repairs - Plumbing	14,428	14,976	14,879	15,212	15,990	14,851	14,860	14,019	15,098	14,212	13,955	15,571	178,050
4220 Repairs - HVAC	8,312	8,178	8,289	8,051	8,120	8,732	8,582	7,915	8,347	8,079	8,360	8,869	99,832
4230 Repairs - Electrical	10,620	10,591	11,449	11,167	11,016	10,109	11,332	11,314	10,977	11,432	10,674	10,300	130,981
4240 Repairs - Appliances	26,061	27,022	26,691	26,465	24,800	26,902	27,385	27,208	26,253	24,070	24,988	26,180	314,026
4250 Painting & Decorating	16,442	16,982	15,271	16,152	16,558	17,044	16,497	17,024	15,871	16,847	16,576	17,049	198,312
4260 Flooring	13,866	14,877	14,059	13,692	14,378	14,660	14,636	13,781	15,519	14,348	14,454	14,342	172,613
4270 Make-Ready / Turnover	23,954	24,713	22,298	22,461	24,712	21,703	23,527	21,857	21,949	24,467	22,802	24,560	279,003
4280 Landscaping Contract	17,421	19,189	18,781	17,480	17,153	19,399	17,827	17,235	17,214	18,486	17,576	17,665	215,425
4290 Snow Removal	26,066	24,012	23,401	23,432	23,599	25,260	23,396	24,831	23,510	24,242	25,778	23,529	291,057
4300 Janitorial	21,520	21,216	20,385	21,403	19,516	20,344	21,495	20,634	20,798	21,744	21,053	21,985	252,091
4310 Pest Control	17,414	17,028	16,528	17,932	17,086	16,911	17,424	17,246	18,015	18,257	17,789	16,470	208,100
4320 Trash Removal	18,017	17,793	18,105	18,669	17,804	18,780	19,190	18,021	17,184	18,124	19,182	17,739	218,608
4330 Elevator Contract	25,362	23,990	23,313	25,657	24,881	25,169	23,356	23,699	23,502	23,433	22,707	25,745	290,814
4340 Fire & Life Safety	3,637	3,961	3,541	3,760	3,549	3,560	3,575	3,481	3,761	3,810	3,760	3,577	43,973
4350 Security	2,443	2,343	2,536	2,432	2,431	2,448	2,544	2,447	2,631	2,527	2,326	2,413	29,524
4360 Electricity - Common	9,123	10,229	9,123	9,872	9,386	9,293	9,188	9,227	9,424	9,889	9,449	9,093	113,296
4370 Gas - Common	3,029	3,189	3,275	3,053	3,221	3,326	3,257	2,998	3,350	3,057	3,265	3,235	38,255
4380 Water & Sewer	6,449	7,041	7,058	7,112	7,044	6,499	7,162	6,739	6,475	6,851	6,710	7,182	82,321
4390 Telephone/Internet	14,611	14,845	13,452	14,210	14,273	14,782	14,770	14,872	13,600	14,708	14,942	14,624	173,688
4400 Advertising	26,071	27,367	25,897	26,085	27,395	29,353	26,344	26,129	26,142	25,972	26,660	25,891	319,306
4410 Resident Events	5,403	5,538	5,070	5,499	5,616	5,610	5,414	5,714	5,409	5,324	5,738	5,688	66,022
4420 Office Supplies	27,152	26,714	28,834	27,659	26,065	27,819	27,132	28,543	29,484	26,608	26,580	26,476	329,065
4430 Legal & Professional	28,392	29,206	27,519	25,947	25,740	26,387	26,419	25,522	28,364	29,135	25,660	26,046	324,336
4440 Accounting & Audit	20,592	19,979	22,098	22,759	20,151	22,192	22,253	22,598	20,914	20,981	22,055	21,373	257,946
4450 Licenses & Permits	11,801	12,362	10,978	10,941	11,601	11,357	12,376	10,826	11,829	11,437	12,295	12,193	139,994
4460 Management Fee	14,186	13,468	12,744	13,617	13,340	13,394	12,705	13,618	13,432	14,436	13,682	14,331	162,954
4470 Property Insurance	11,014	10,871	10,926	12,182	12,266	12,185	12,278	11,445	12,010	11,363	11,497	12,118	140,155
4480 Real Estate Taxes	11,174	11,237	10,145	10,458	9,976	11,142	10,349	10,627	11,090	10,552	11,318	10,511	128,577
4490 Asset Management Fee	9,395	9,736	9,459	9,547	9,483	8,676	9,135	9,674	9,440	8,699	9,097	9,354	111,695
4500 Replacement Reserves	16,797	16,498	15,177	14,912	15,027	15,610	16,490	16,003	16,144	16,206	16,211	16,349	191,425
4510 Roof Repairs	2,802	2,867	2,883	2,900	2,738	2,999	2,983	2,960	2,892	2,922	2,938	2,893	34,778

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Operating Performance

The community provides assisted living and memory care services under a state-issued license with 30 full-time caregivers per shift. Effective gross income for the trailing period was $252,000, representing a 4.7% increase over the prior year. The going-in capitalization rate of 6.80% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.11x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The community provides assisted living and memory care services under a state-issued license with 21 full-time caregivers per shift. The going-in capitalization rate of 7.95% reflects the in-place income and the stabilized occupancy assumption. Occupancy stands at 92.1% with an average resident length of stay of 8 years. Management fees are calculated at 5.9% of collected revenue and are included in operating expenses.

Leasing and Marketing

The community provides assisted living and memory care services under a state-issued license with 17 full-time caregivers per shift. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Dining, housekeeping, transportation and activities programming are included in the base fee. Occupancy stands at 96.5% with an average resident length of stay of 9 years.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 32 additional team members. Occupancy stands at 89.1% with an average resident length of stay of 8 years. Dining, housekeeping, transportation and activities programming are included in the base fee. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 44th business day. Collections for the period were 90.5% of billed charges, with bad debt of 4.7% of gross potential income.

Valuation Discussion

Dining, housekeeping, transportation and activities programming are included in the base fee. Occupancy stands at 90.7% with an average resident length of stay of 8 years. The going-in capitalization rate of 5.91% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care.

Occupancy stands at 93.1% with an average resident length of stay of 10 years. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 5.7% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.23% reflects the in-place income and the stabilized occupancy assumption. The community provides assisted living and memory care services under a state-issued license with 21 full-time caregivers per shift. Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Occupancy stands at 92.9% with an average resident length of stay of 10 years. The manager completes a monthly walk of the property and submits a variance report to the owner by the 11th business day. Service requests are tracked through a work-order system with an average completion time of 43 hours. Dining, housekeeping, transportation and activities programming are included in the base fee.

Occupancy stands at 96.9% with an average resident length of stay of 11 years. The community provides assisted living and memory care services under a state-issued license with 8 full-time caregivers per shift. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 19 hours.

Income and Expense Review

The community provides assisted living and memory care services under a state-issued license with 28 full-time caregivers per shift. The going-in capitalization rate of 7.69% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.85x on a trailing basis against a covenant minimum of 1.20x.

Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. Dining, housekeeping, transportation and activities programming are included in the base fee. Effective gross income for the trailing period was $49,000, representing a 13.8% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Leasing and Marketing

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4520 Parking Lot Repairs	25,958	26,129	23,931	25,476	23,903	24,728	23,992	23,440	23,857	24,447	23,881	25,717	295,459
4530 Signage	8,000	8,556	8,053	8,188	8,363	8,109	8,817	8,233	9,066	8,668	8,019	9,125	101,197
4540 Tenant Improvements	21,450	23,373	21,593	23,829	23,208	21,691	22,995	22,369	23,792	22,458	22,451	22,417	271,628
4550 Leasing Commissions	6,834	6,779	6,735	7,104	7,491	7,393	7,117	7,207	6,851	7,311	7,122	7,259	85,204
4000 Gross Potential Rent	224,323	222,951	240,231	239,293	223,376	240,474	233,995	223,297	237,642	236,910	244,964	245,629	2,813,083
4010 Loss to Lease	83,286	84,495	93,880	85,873	92,600	91,287	88,408	92,219	87,560	92,616	93,894	93,494	1,079,612
4020 Vacancy Loss	5,251	4,865	4,976	5,166	5,231	4,905	5,175	5,339	4,937	4,905	5,424	5,409	61,585
4030 Concessions	116,127	110,121	116,925	119,977	118,801	122,462	120,588	121,344	111,730	116,822	109,411	116,021	1,400,329
4040 Bad Debt	81,193	79,474	77,836	81,796	81,555	81,686	80,066	74,771	77,787	74,772	80,897	81,956	953,791
4050 Late Fees	190,694	195,070	180,016	197,936	184,985	190,024	183,756	189,315	188,595	179,254	186,002	197,545	2,263,192
4060 Utility Reimbursements	57,013	59,996	56,367	61,042	56,239	58,002	59,716	54,751	55,188	61,748	61,259	59,658	700,979
4070 Parking Income	17,325	18,797	18,616	17,637	18,064	17,504	17,612	18,233	18,887	19,122	18,176	19,006	218,981
4080 Application Fees	108,831	104,188	99,508	108,560	98,009	107,334	108,183	98,761	102,125	105,718	110,537	112,124	1,263,878
4090 Pet Rent	142,580	131,358	134,368	127,867	141,634	144,244	128,916	126,765	132,230	145,214	131,494	144,452	1,631,123
4100 Laundry Income	26,678	28,670	25,816	29,087	25,780	27,021	29,395	25,861	28,522	29,368	27,860	28,974	333,031
4110 Cable/Internet Revenue	27,450	27,758	24,689	24,685	26,180	26,385	25,725	26,390	28,054	24,538	25,356	26,059	313,268
4120 CAM Reimbursements	194,536	191,045	205,080	206,815	191,295	204,063	201,935	198,178	203,090	196,203	205,979	198,057	2,396,276
4130 Tax Reimbursements	114,838	118,953	119,408	110,150	111,933	106,229	119,571	121,222	110,811	116,872	109,393	114,322	1,373,703
4140 Insurance Reimbursements	116,121	108,448	116,906	117,391	112,297	111,123	120,630	115,098	114,389	116,940	119,392	106,943	1,375,677
4150 Percentage Rent	183,938	186,455	182,379	185,976	173,833	187,028	180,115	180,957	187,954	177,617	174,784	197,140	2,198,174
4160 Misc. Income	115,932	109,594	113,946	109,326	113,146	104,346	107,264	102,654	107,434	107,759	104,213	112,249	1,307,864
4170 Payroll - Management	22,099	22,401	21,344	19,880	20,807	20,900	22,491	19,915	19,848	22,141	21,143	22,460	255,429
4180 Payroll - Leasing	12,797	14,433	12,702	13,641	12,719	13,118	12,835	13,162	13,237	13,916	13,420	13,659	159,640
4190 Payroll - Maintenance	10,183	9,915	10,456	9,643	10,503	9,838	9,578	9,855	9,584	10,324	9,965	10,590	120,435
4200 Payroll Taxes & Benefits	10,763	10,364	11,090	10,987	9,806	10,847	10,854	10,521	10,485	10,813	10,001	10,523	127,055
4210 Repairs - Plumbing	16,572	16,057	16,837	16,913	17,942	17,674	17,821	16,096	17,478	18,234	16,127	18,164	205,914
4220 Repairs - HVAC	7,925	7,338	7,640	7,549	7,655	7,753	7,473	7,719	8,115	7,206	7,144	7,768	91,286
4230 Repairs - Electrical	19,782	19,574	19,336	18,257	18,806	20,386	18,852	18,965	19,988	18,774	20,367	18,102	231,189
4240 Repairs - Appliances	28,773	28,490	25,487	28,308	25,249	26,132	26,468	25,646	25,502	26,576	25,300	25,147	317,078
4250 Painting & Decorating	22,853	23,368	22,836	23,829	21,240	22,543	21,541	22,757	23,103	21,912	21,160	22,617	269,760
4260 Flooring	20,512	19,607	21,562	21,268	21,579	22,100	19,791	19,658	21,111	21,143	21,385	20,887	250,605
4270 Make-Ready / Turnover	24,993	26,757	27,430	24,963	27,572	27,421	27,091	25,663	24,995	25,967	24,159	25,487	312,498
4280 Landscaping Contract	15,399	14,453	13,808	14,286	13,928	14,662	14,826	14,414	14,723	14,169	15,089	15,764	175,522
4290 Snow Removal	11,276	10,143	11,227	10,572	10,884	10,114	10,437	9,821	11,143	10,569	10,319	10,981	127,484
4300 Janitorial	25,056	26,425	24,920	25,488	26,200	24,839	26,851	25,179	26,037	26,465	28,187	28,131	313,776
4310 Pest Control	18,870	18,887	19,483	20,996	19,473	21,533	20,804	20,380	20,830	21,474	19,906	20,793	243,430
4320 Trash Removal	15,014	14,959	15,921	15,749	14,491	14,633	15,302	15,103	15,112	14,159	15,365	14,866	180,673
4330 Elevator Contract	15,008	15,541	14,812	15,764	15,160	15,069	14,878	15,131	15,066	15,701	14,654	16,136	182,919
4340 Fire & Life Safety	23,070	20,618	23,482	20,831	23,156	21,920	22,723	22,942	21,529	21,165	22,939	21,401	265,776
4350 Security	26,557	29,489	26,045	26,620	28,530	28,570	25,955	28,705	26,542	29,356	26,020	27,394	329,782
4360 Electricity - Common	14,104	14,842	14,457	15,690	15,649	15,255	14,748	15,456	15,096	14,843	15,274	15,187	180,602
4370 Gas - Common	20,502	20,505	22,247	20,496	22,253	20,629	21,550	22,033	21,743	21,234	21,275	20,640	255,108
4380 Water & Sewer	17,728	16,550	16,453	16,648	15,782	16,688	17,138	16,099	17,239	16,556	17,061	16,655	200,596
4390 Telephone/Internet	13,813	14,318	14,001	14,316	14,223	13,326	13,110	14,242	13,337	13,617	13,346	14,019	165,667
4400 Advertising	15,755	16,465	14,886	15,141	14,888	16,509	16,145	15,522	16,457	15,956	16,340	15,226	189,289
4410 Resident Events	23,896	23,212	23,758	22,331	22,477	23,072	21,827	21,871	22,800	22,554	24,080	21,782	273,660

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Income and Expense Review

Debt service coverage ratio was 6.05x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.0% over the hold period. Occupancy stands at 93.2% with an average resident length of stay of 5 years.

Debt service coverage ratio was 6.43x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $200,000, representing a 4.9% increase over the prior year. Management fees are calculated at 7.7% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.70% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management Commentary

The community provides assisted living and memory care services under a state-issued license with 30 full-time caregivers per shift. Service requests are tracked through a work-order system with an average completion time of 13 hours. Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. Dining, housekeeping, transportation and activities programming are included in the base fee. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day. Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. Service requests are tracked through a work-order system with an average completion time of 35 hours. Collections for the period were 96.1% of billed charges, with bad debt of 6.9% of gross potential income. The community provides assisted living and memory care services under a state-issued license with 7 full-time caregivers per shift.

Financial Analysis

The community provides assisted living and memory care services under a state-issued license with 28 full-time caregivers per shift. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $408,000 or approximately 37.51 per square foot, with real estate taxes representing the largest line item. Dining, housekeeping, transportation and activities programming are included in the base fee. Net operating income is projected to grow at a compound annual rate of 6.0% over the hold period. Management fees are calculated at 7.5% of collected revenue and are included in operating expenses. The community provides assisted living and memory care services under a state-issued license with 10 full-time caregivers per shift.

Property Operations

Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. Service requests are tracked through a work-order system with an average completion time of 47 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 47th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 26 additional team members. Occupancy stands at 88.1% with an average resident length of stay of 11 years. Dining, housekeeping, transportation and activities programming are included in the base fee. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 19 hours.

Operating Performance

Debt service coverage ratio was 5.22x on a trailing basis against a covenant minimum of 1.20x. Dining, housekeeping, transportation and activities programming are included in the base fee. Effective gross income for the trailing period was $380,000, representing a 5.0% increase over the prior year. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 5.8% over the hold period.

Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period. Debt service coverage ratio was 8.05x on a trailing basis against a covenant minimum of 1.20x. The community provides assisted living and memory care services under a state-issued license with 19 full-time caregivers per shift. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses.

Leasing and Marketing

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4350 Security	2,618	2,741	2,911	2,755	2,576	2,888	2,643	2,663	2,888	2,905	2,879	2,647	33,114
4360 Electricity - Common	22,056	21,046	20,761	22,858	22,313	23,051	20,899	23,247	21,299	21,715	20,801	23,300	263,346
4370 Gas - Common	19,818	20,826	20,633	21,371	19,575	19,623	20,867	18,852	19,151	20,021	18,764	19,204	238,704
4380 Water & Sewer	17,227	18,827	18,809	17,323	18,387	16,817	17,328	18,058	17,036	18,868	18,919	18,846	216,444
4390 Telephone/Internet	14,937	14,654	15,643	14,077	15,776	15,156	15,132	15,137	15,501	14,869	15,630	14,631	181,143
4400 Advertising	25,994	26,895	28,335	28,196	25,995	27,618	27,062	26,957	25,264	27,082	25,863	26,742	322,002
4410 Resident Events	13,778	13,191	13,878	13,971	13,864	13,916	13,957	13,646	13,707	13,814	13,337	14,107	165,168
4420 Office Supplies	24,171	21,732	24,766	23,435	23,052	24,632	23,837	22,054	22,537	21,728	24,285	22,104	278,333
4430 Legal & Professional	12,377	13,453	13,537	13,625	13,152	12,405	12,389	12,569	13,082	12,626	13,208	12,499	154,923
4440 Accounting & Audit	26,558	24,217	24,487	26,021	24,605	27,160	26,559	25,382	25,817	26,122	27,044	24,910	308,881
4450 Licenses & Permits	21,546	21,295	22,029	22,771	23,140	22,665	23,727	22,031	21,738	22,445	21,412	21,792	266,591
4460 Management Fee	15,388	15,493	15,829	15,677	15,535	15,871	16,112	15,991	14,436	14,677	14,446	14,484	183,939
4470 Property Insurance	19,602	20,366	20,316	20,576	20,523	18,935	19,513	19,714	19,659	19,271	20,644	19,596	238,717
4480 Real Estate Taxes	22,820	23,077	22,640	23,342	23,569	22,665	22,560	23,989	21,714	22,551	22,418	21,699	273,045
4490 Asset Management Fee	4,733	4,776	4,338	4,398	4,773	4,476	4,673	4,601	4,731	4,211	4,308	4,448	54,467
4500 Replacement Reserves	24,033	24,853	23,320	23,261	23,857	24,204	21,852	22,467	23,905	22,700	22,977	22,666	280,094
4510 Roof Repairs	6,295	6,363	6,453	6,032	6,286	6,522	6,323	6,147	6,604	6,433	6,101	5,944	75,503
4520 Parking Lot Repairs	11,015	10,940	11,257	10,116	10,789	11,189	10,191	10,266	10,257	10,007	10,840	11,090	127,959
4530 Signage	14,602	14,368	16,060	16,176	15,999	16,363	15,694	14,723	16,065	16,404	16,067	15,205	187,726
4540 Tenant Improvements	4,690	4,626	5,043	4,943	4,698	4,800	4,948	4,971	4,923	4,723	4,547	4,745	57,657
4550 Leasing Commissions	16,324	16,143	15,720	15,042	16,277	14,615	16,022	15,710	15,928	16,205	15,985	16,242	190,212
4000 Gross Potential Rent	222,305	221,560	242,650	246,316	235,567	231,630	239,234	231,956	223,937	227,899	233,658	234,465	2,791,176
4010 Loss to Lease	29,291	25,939	27,697	27,298	27,001	27,087	28,121	26,927	26,154	28,843	25,695	29,049	329,102
4020 Vacancy Loss	139,428	134,917	140,085	143,972	151,931	143,852	139,648	147,742	143,616	136,363	134,680	141,716	1,697,950
4030 Concessions	62,209	67,999	65,930	67,940	60,597	67,111	65,193	63,254	60,973	61,487	61,305	63,796	767,795
4040 Bad Debt	109,101	109,471	101,177	100,845	109,114	99,691	106,083	109,029	113,536	104,561	110,647	112,217	1,285,471
4050 Late Fees	144,682	159,714	151,566	150,822	161,198	155,019	156,182	161,444	146,596	159,891	156,747	146,350	1,850,208
4060 Utility Reimbursements	102,587	92,804	98,736	98,381	97,807	95,004	100,021	95,032	99,350	92,324	99,987	102,535	1,174,567
4070 Parking Income	19,561	19,758	20,268	18,970	19,485	18,518	18,458	17,714	18,733	18,334	18,621	18,906	227,325
4080 Application Fees	73,606	70,855	74,959	68,911	70,824	67,678	71,282	70,210	74,090	73,152	73,545	73,801	862,912
4090 Pet Rent	46,163	48,484	49,239	44,362	48,020	45,400	47,162	49,161	48,017	48,270	45,916	48,726	568,920
4100 Laundry Income	73,017	79,115	75,244	80,827	77,769	77,466	77,387	79,139	77,391	77,461	82,207	79,782	936,806
4110 Cable/Internet Revenue	5,466	5,115	5,079	4,946	5,523	4,915	5,131	4,959	5,098	5,617	5,041	5,181	62,071
4120 CAM Reimbursements	107,555	101,385	109,256	103,850	105,583	98,576	109,458	106,698	108,139	102,146	105,844	109,941	1,268,432
4130 Tax Reimbursements	102,719	103,737	106,549	94,533	103,573	96,514	93,726	104,613	106,685	96,845	103,857	95,358	1,208,708
4140 Insurance Reimbursements	89,577	93,323	91,175	83,523	81,465	88,244	83,896	83,947	89,378	90,263	86,462	91,126	1,052,378
4150 Percentage Rent	151,788	148,259	147,787	150,004	153,053	157,785	165,636	167,579	158,341	148,005	166,640	164,667	1,879,543
4160 Misc. Income	10,797	10,802	10,441	10,597	10,685	10,804	10,433	10,794	10,724	9,978	10,938	10,206	127,199
4170 Payroll - Management	12,197	13,211	12,926	12,416	12,109	12,960	12,405	12,530	13,584	12,570	12,018	12,987	151,912
4180 Payroll - Leasing	17,631	17,989	17,700	17,658	19,385	19,494	18,174	17,330	17,737	17,076	19,154	17,814	217,141
4190 Payroll - Maintenance	23,984	27,085	24,935	25,901	24,439	24,305	23,718	24,238	26,370	26,292	26,581	24,244	302,091
4200 Payroll Taxes & Benefits	23,557	23,221	22,862	20,606	22,378	23,056	23,506	21,415	21,844	21,086	21,150	22,095	266,776
4210 Repairs - Plumbing	24,870	25,596	26,825	24,196	24,024	25,629	27,144	27,008	27,304	26,476	26,626	24,193	309,891
4220 Repairs - HVAC	21,515	22,256	21,149	21,436	21,375	22,716	22,652	22,857	22,128	22,623	21,120	22,407	264,234
4230 Repairs - Electrical	19,127	19,151	21,414	18,893	19,449	20,996	20,519	21,083	18,804	21,326	21,619	19,834	242,213

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Summary and Notes

Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Dining, housekeeping, transportation and activities programming are included in the base fee. Occupancy stands at 92.4% with an average resident length of stay of 10 years. Average monthly revenue per occupied unit is $6,582, inclusive of base rent and levels of care. Net operating income is projected to grow at a compound annual rate of 6.9% over the hold period. Debt service coverage ratio was 6.54x on a trailing basis against a covenant minimum of 1.20x.

Operating expenses totaled $452,000 or approximately 27.05 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $87,000, representing a 13.7% increase over the prior year. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. The going-in capitalization rate of 7.30% reflects the in-place income and the stabilized occupancy assumption.

Leasing and Marketing

Dining, housekeeping, transportation and activities programming are included in the base fee. The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day. The community provides assisted living and memory care services under a state-issued license with 46 full-time caregivers per shift. Occupancy stands at 92.3% with an average resident length of stay of 12 years. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

The community provides assisted living and memory care services under a state-issued license with 25 full-time caregivers per shift. Collections for the period were 88.5% of billed charges, with bad debt of 3.6% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 9 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 6 hours. Occupancy stands at 95.7% with an average resident length of stay of 4 years.

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